

CHINA

Table 1 **2019**

Population, million	1395.4
GDP, current US\$ billion	14115.8
GDP per capita, current US\$	10116
International poverty rate (\$1.9) ^a	0.5
Lower middle-income poverty rate (\$3.2) ^a	5.4
Upper middle-income poverty rate (\$5.5) ^a	23.9
School enrollment, primary (% gross) ^b	99.4
Life expectancy at birth, years ^b	76.5

Source: WDI, Macro Poverty Outlook, and official data.
Notes:

(a) Most recent value (2016), 2011 PPPs.

(b) Most recent WDI value (2017).

The COVID-19 outbreak has led to an unprecedented economic shock in China and the global economy. Growth is projected to slow sharply in 2020 before rebounding in 2021. Uncertainty surrounding the outlook is exceptionally high. Risks include recurrent outbreaks and a sharper and longer lasting slowdown in global growth. The economic slowdown could also exacerbate existing balance sheet vulnerabilities in the household, corporate and banking sectors. Amid slower growth in real household incomes the pace of poverty reduction will moderate.

Recent developments

GDP growth slowed to 6.1 percent in 2019 from 6.6 percent in 2018. Manufacturing investment and trade flows rebounded in the last quarter of 2019 following the conclusion of the phase one trade deal between China and the US.

While momentum had been building towards January 2020, the outbreak of the CoVID-19 virus has been taking a toll on China's economy. Government restrictions, social distancing and fear have sharply reduced consumption of services. Transportation, hospitality, and traditional retail trade were most severely affected. Extended business suspension and labor shortages related to transport restrictions, lockdowns and quarantine requirements caused significant supply disruptions and plunge in manufacturing output, especially in auto, electronics, and machinery sectors, across China. Real industrial value-added contracted by 13.5 percent yoy in the first two months of 2020, while real retail sales plummeted by 23.7 percent. Fixed asset investment (FAI) also fell sharply, declining 24.5 percent in the same period.

As of mid-March, activity has started to recover, even if at a slow pace. Coal consumption—a proxy of electricity generation—has risen since late February but remains 15 percent below the usual seasonal average. Car and property sales also picked up albeit still remaining about 50 percent lower than last year.

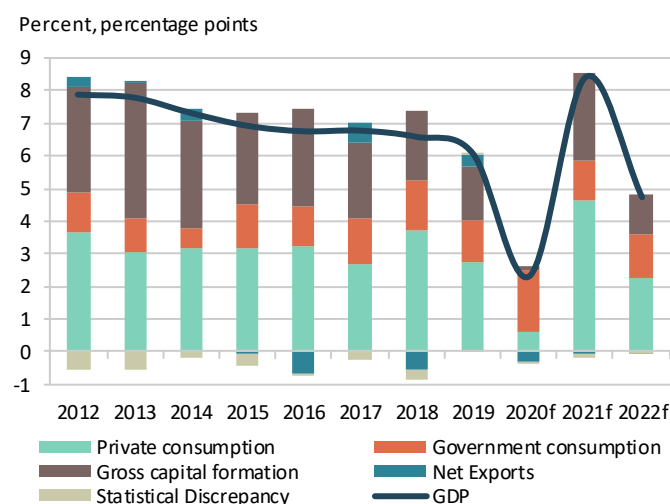
The authorities have implemented measures to mitigate the economic impacts

of the outbreak. The initial policy response aimed to bolster market confidence and provide adequate liquidity support to address near-term cashflow problems and mitigate more permanent economic damage in the form of bankruptcies, unemployment, and rising NPLs. The PBOC cut policy rates and announced a targeted reserve requirement ratio (RRR) cut, effective March 16, that would release RMB 550 billion (0.5 percent of GDP) in base money liquidity. The banking sector regulator also adopted regulatory forbearance to encourage banks to allow more flexible repayment and increase tolerance for non-performing loans (NPLs) during the coronavirus outbreak. Targeted fiscal measures were rolled out to ease near-term cashflow problems in the enterprise sector including subsidies, tax breaks and deferrals in social and health insurance payments by affected industries (estimated at about 1.2 percent of GDP). In addition, 1.3 trillion RMB (or 1.3 percent of GDP) special local government bond issuance was authorized in 2020Q1, 0.6 percent GDP higher than 2019Q1.

Outlook

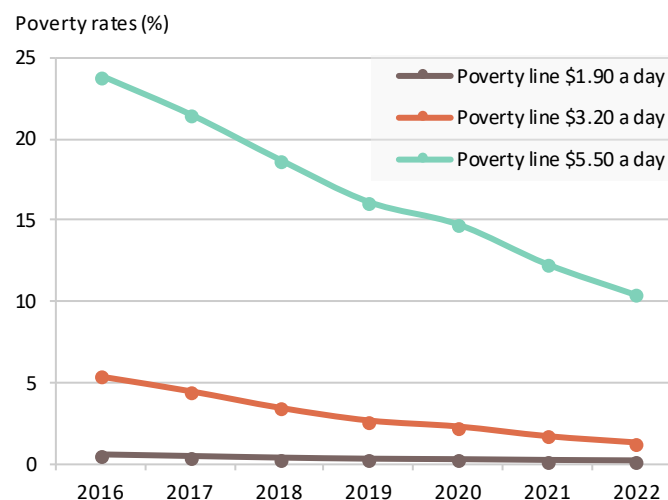
Growth is forecast to decline sharply this year. In our base case scenario -which is predicated on a severe but ultimately short-lived shock- we expect growth to slow to 2.3 percent in 2020. After economic activity came to a sudden halt in the first quarter, growth is expected to rebound in the remainder of the year as

FIGURE 1 China / Real GDP growth and contributions to real GDP growth



Sources: National Bureau of Statistics; World Bank staff estimates.

FIGURE 2 China / Poverty estimates and projections



Sources: World Bank staff forecasts based on group data provided by Povcal.

supply side constraints ease and pent-up demand is released amid a roll back of prevention measures. However, job losses, shortfalls in corporate revenue and uncertainty will slow the return to previous levels of consumption, investment and trade. While additional fiscal support and monetary easing is expected to help lift domestic demand, the impending global recession is also expected to restrain the pace of recovery.

Risks to this baseline are significant and tilted to the downside. Domestically, recurrent outbreaks could delay resumption of economic activity. In addition, despite government policies to mitigate impacts, household, banking sector and corporate balance sheets may suffer more permanent damage, especially given the high level of indebtedness. These domestic risks are compounded by heightened external uncertainty including the possibility of a more severe and protracted global recession, accompanied by persistent dislocations in global trade and finance. In a more adverse scenario where some of these risks materialize, China's growth would slow more sharply to 0.1 percent this year.

Reflecting labor dislocation, slower growth in household incomes, higher food prices and health expenditures, the pace of poverty reduction is expected to slow. Workers in less secure, informal

and self-employment, particularly migrant workers will be especially vulnerable. In addition, elderly population, with heightened health risk, higher health expenditures and potentially lower family transfers which are not compensated by public transfers, may be particularly hurt by the outbreak. Still, the share of people living on less than \$5.50/day (the poverty line for upper-middle income countries) is projected to continue to decline or stall, depending on the scenario. While in 2019, poverty rate is estimated to have declined 2 percentage points (over 27 million people lifted out of poverty), the projection is that in 2020, the poverty rate will decline between 0.8 percentage point (11 million people) and 0.2 percentage points (2 million people), due to a slowdown in economic growth.

Risks and challenges

Negative risks to the outlook are significant. Domestically, the economic impacts of the outbreak could exacerbate existing vulnerabilities and balance sheet weaknesses in the corporate and banking sectors which could weigh on the recovery, put additional strain on the banking system and pose potential contingent fiscal liabilities. Externally, a sharper than expected deterioration

in the external environment, including substantially weaker external demand, widespread disruptions to global supply chains outside China, and negative global market and financial confidence effects, could restrain the pace of China's recovery. The outbreak may also hamper the implementation of the China-US phase one trade agreement, which could lead to renewed trade tensions, with broad-ranging economic consequences.

Continued and well calibrated fiscal and monetary policy measures are required to mitigate the economic impacts of the outbreak. Priority areas include policy measures to mitigate short-term distress especially in small and medium enterprises and social impacts, especially on poor and vulnerable households. Monetary policy will also need to remain accommodative to contain downside risks to growth. However, once economic activity stabilizes de-risking and deleveraging efforts would need to resume to reduce financial risks. Beyond the immediate impact of the current outbreak, longer-term economic impacts may be associated with perceptions of heightened public health risks in China. This calls for resolute policy actions that enhance resilience against similar health shocks, including enhanced food safety, health surveillance and response systems.

TABLE 2 China / Macro poverty outlook baseline scenario

(annual percent change unless indicated otherwise)

	2017	2018	2019 e	2020 f	2021 f	2022 f
Real GDP growth, at constant market prices	6.8	6.6	6.1	2.3	7.7	5.0
Private Consumption	6.8	9.5	6.8	1.0	11.0	6.0
Government Consumption	10.0	10.4	8.4	12.1	7.2	7.5
Gross Fixed Capital Investment	4.4	4.8	4.5	0.2	5.4	3.3
Exports, Goods and Services	9.1	4.0	2.5	-8.5	4.0	1.0
Imports, Goods and Services	7.1	7.9	1.0	-9.3	4.5	1.2
Real GDP growth, at constant factor prices	6.8	6.6	6.1	2.3	7.7	5.0
Agriculture	3.9	3.5	3.3	3.1	3.4	3.3
Industry	5.9	5.8	5.5	2.8	7.3	4.2
Services	7.9	7.6	7.0	1.8	8.7	5.8
Inflation (Consumer Price Index)	1.6	2.1	2.9	2.6	2.4	2.4
Current Account Balance (% of GDP)	1.6	0.4	1.1	1.1	0.9	0.8
Net Foreign Direct Investment (% of GDP)	0.2	0.8	0.9	0.6	1.0	1.1
Fiscal Balance (% of GDP)^a	-3.9	-3.8	-5.8	-7.2	-5.2	-5.1
Debt (% of GDP)	46.5	36.2	39.2	45.1	46.2	48.3
Primary Balance (% of GDP)	-3.0	-2.6	-4.6	-6.2	-4.0	-3.9
International poverty rate (\$1.9 in 2011 PPP)^b	0.4	0.3	0.3	0.3	0.2	0.2
Lower middle-income poverty rate (\$3.2 in 2011 PPP)^b	4.5	3.7	3.0	2.7	2.3	2.1
Upper middle-income poverty rate (\$5.5 in 2011 PPP)^b	21.5	19.5	17.4	16.6	14.9	13.9

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices.

Notes: e = estimate, f = forecast.

(a) The adjusted fiscal balance adds up the public finance budget, the government fund budget, the state capital management fund budget and the social security fund budget.

(b) Note: 2016 is actual based on group data provided by NBS, 2017 onwards are projections using neutral distribution assumption with pass through 0.72